

THE COMPANY | FUNDAMENTALS, QUALITY, COMPETITION & VALUATION

Microsoft Corporation

MSFT | FY2026 | Integrated company research with transparent calculations, judgments and scenarios.

REVENUE \$331.8B	REVENUE GROWTH 17.8%	OPERATING MARGIN 46.8%	SIMPLE FCF \$67.0B
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Executive view

Core thesis. Cloud and AI demand are expanding revenue and operating income, while the scale and classification of infrastructure investment are increasingly central to cash-flow quality.

Counter-thesis. Infrastructure commitments may grow faster than monetization, increasing depreciation, lease obligations and the risk that headline cash generation overstates economic cash generation.

What the latest year says

Revenue changed 17.8% year over year, gross margin reached 67.9%, operating margin reached 46.8%, capex represented 34.9% of revenue and simple FCF was \$67.0B. These observations frame the debate; they do not by themselves determine the scenario range presented later.

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Pivotal questions and differentiated view

The research process begins with falsifiable questions. Each question links an operating driver to the evidence that would strengthen or weaken the view.

01. Can AI revenue scale quickly enough to earn an attractive return on the infrastructure build-out?

02. How much of cloud demand is contracted, capacity-constrained or pulled forward?

03. Does the current operating-margin profile survive a higher depreciation and energy-cost base?

Priority diligence

- How much incremental AI infrastructure demand is contracted versus capacity built ahead of demand?
- What portion of infrastructure spending is owned capex versus finance or operating leases?
- How quickly does incremental infrastructure convert into revenue, operating profit and cash returns?

Decision rule

A conclusion is retained only while the operating evidence, cash economics and competitive position remain mutually consistent. A strong headline metric does not override a contradictory cash-flow or balance-sheet signal.

Business model and moat

A diversified software, cloud and infrastructure platform monetized through subscriptions, consumption, licensing, advertising and devices.

Growth engines

- Azure and cloud consumption
- Microsoft 365 commercial seat and ARPU expansion
- AI infrastructure and application monetization

Competitive durability

Enterprise distribution	A broad installed base gives the company multiple routes to deploy new cloud and AI products.
Integrated stack	Infrastructure, data, productivity and developer tools reinforce cross-product adoption.
Switching costs	Identity, workflow, data and application dependencies can make platform changes operationally expensive.
Capital scale	Large investment capacity supports global infrastructure, but raises the hurdle for cash returns.

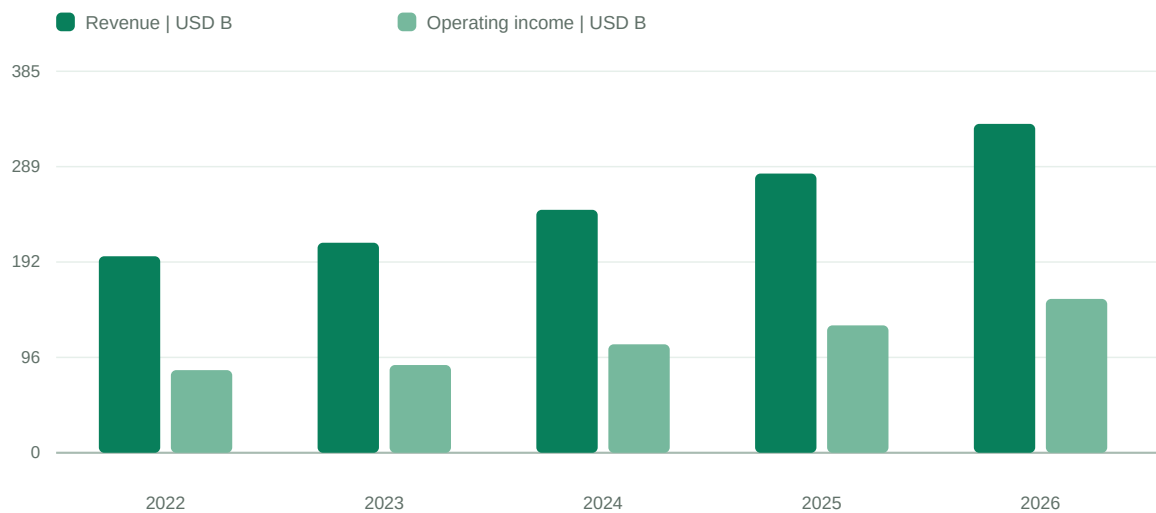
Operating indicators

Azure growth • Commercial remaining performance obligations • Capex intensity • Finance lease additions and principal payments

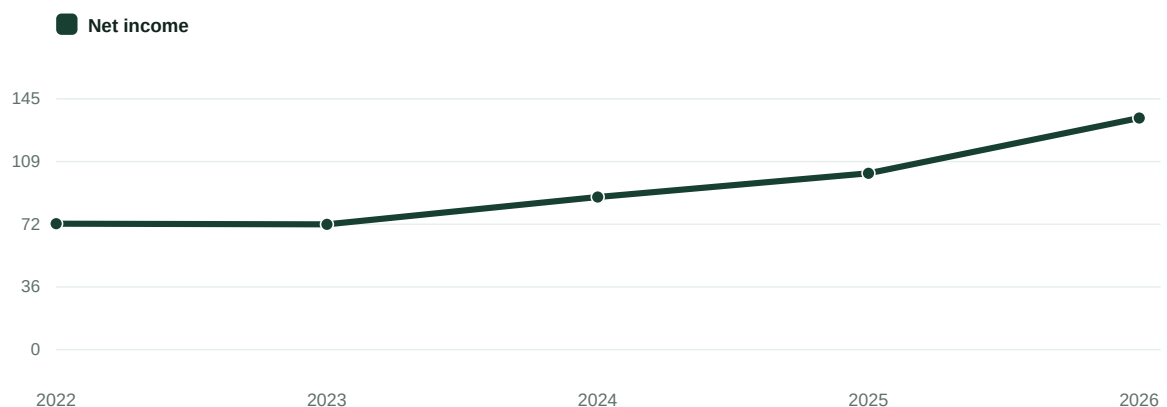
Earnings trajectory

Scale, growth and operating profit are shown before valuation so the direction of the underlying business remains distinct from market assumptions.

Revenue and operating income



Net income progression



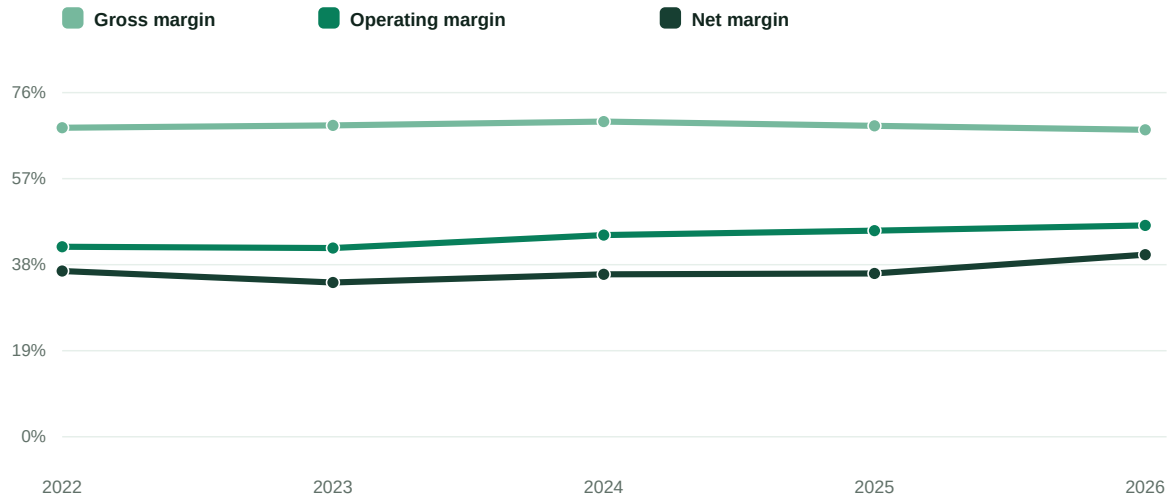
Interpretation

Revenue growth should be reconciled to price, volume, mix, acquisitions and currency. Operating income adds the cost structure, but not the investment intensity required to sustain the growth path.

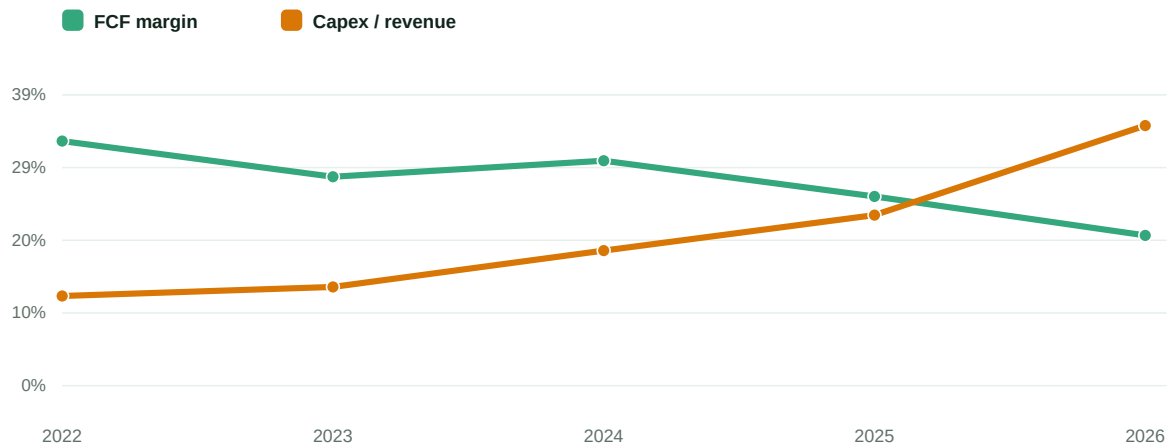
Margins and operating leverage

Margin direction is assessed together with reinvestment intensity. A rising accounting margin can coexist with weakening economic cash returns when infrastructure commitments accelerate.

Reported profitability



Cash margin and capex intensity



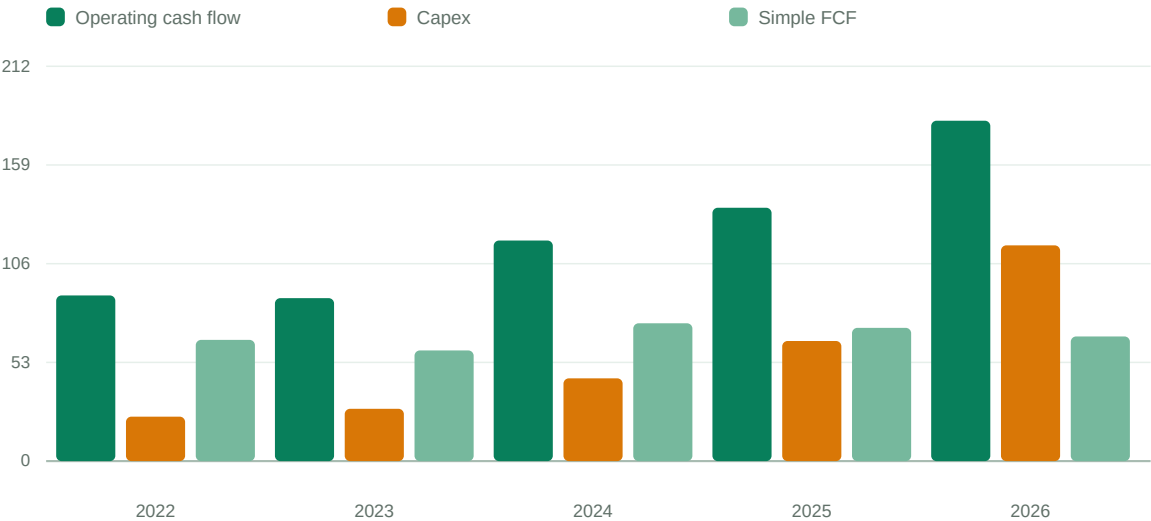
Research implication

The key question is not whether margin is high in isolation, but whether incremental revenue produces operating profit and cash returns after the required capital base is recognized consistently.

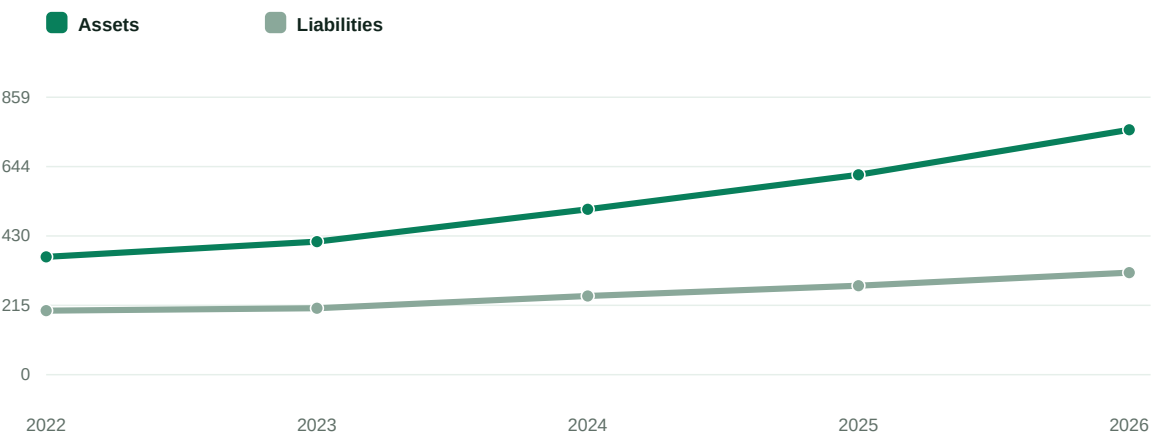
Cash generation and financial capacity

Operating cash flow, reported capital expenditure and simple FCF are presented together. Balance-sheet scale is then used to test how much financial capacity supports the investment cycle.

Cash-flow bridge by fiscal year



Assets and liabilities



Boundary

Total liabilities / assets is a structure indicator, not net debt, liquidity or a credit conclusion. A full review requires debt maturities, commitments, leases, cash availability and financing terms.

Accounting quality and noise filter

Signals identify classification and timing issues that may change the analytical interpretation of reported performance. They do not allege misconduct.

Capital expenditure step-up

Reported capex increased 79.6% year over year.

Implication: Simple FCF is absorbing a larger investment cycle; maintenance and growth capex should not be assumed equivalent.

Required review: Reconcile the increase to data centers, equipment, construction commitments and management capacity commentary.

Cash conversion divergence

Operating cash flow / net income is 1.37x.

Implication: The difference may reflect working capital, deferred revenue, stock compensation, taxes or other non-cash items rather than steady-state economics.

Required review: Build an operating-cash-flow bridge from the filing before treating the ratio as persistent.

Finance lease principal outside operating cash flow

The filing reports \$3.1B of finance lease principal in financing cash flow for FY2026.

Implication: Conventional CFO-minus-capex FCF excludes this economic cash outflow, so an analyst may subtract it for an infrastructure-adjusted view.

Required review: Confirm the lease note, avoid describing classification as manipulation, and compare like-for-like definitions across periods.

Reported-to-analytical cash-flow bridge

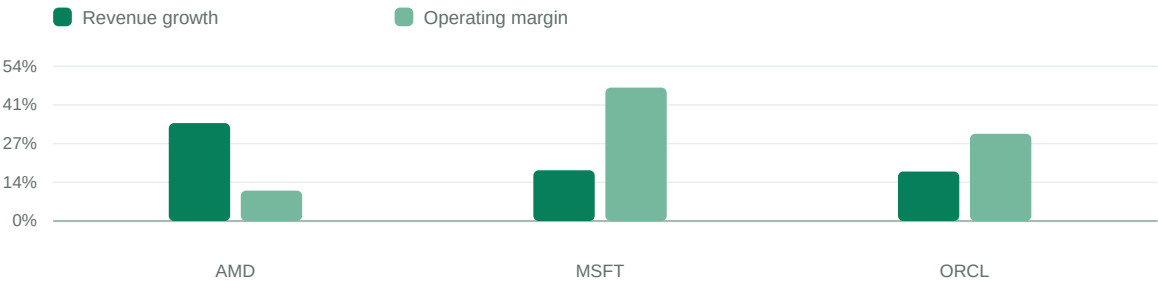


The adjustment is an analytical view, not a restatement. Definitions must remain consistent across periods and peers.

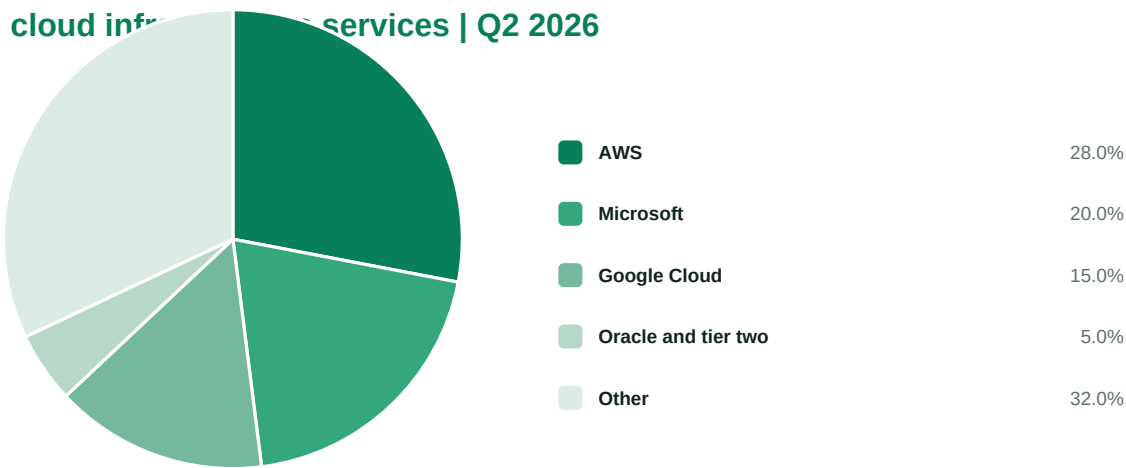
Competitive position and market share

Market share and the competitive rubric answer different questions. Share is a dated category snapshot; scores are explicit judgments about the durability of the company's position.

Latest operating comparison



Global cloud infrastructure services | Q2 2026



Data through Q2 2026.

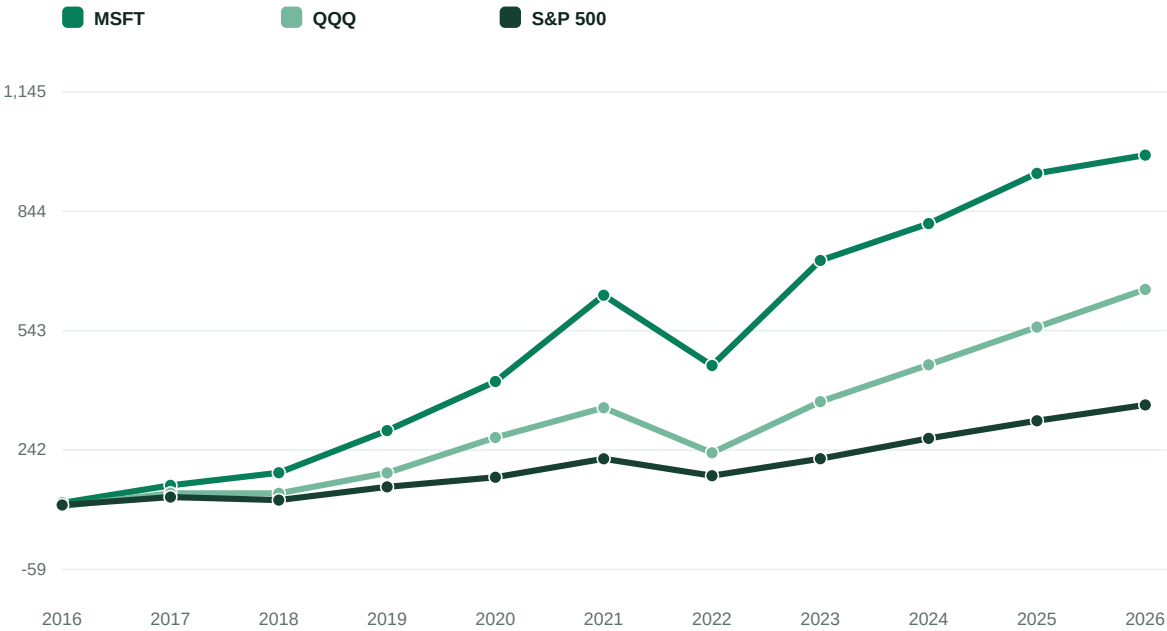
Competitive rubric | 1 to 5

	Cloud scale	Enterprise distr	Data depth	Application reac	AI ecosystem
Microsoft	5/5	5/5	4/5	5/5	5/5
AWS	5/5	4/5	3/5	3/5	5/5
Google	4/5	3/5	4/5	4/5	5/5
Oracle	3/5	5/5	5/5	4/5	3/5

Read across a row to compare one company across dimensions; read down a column to compare competitors on one dimension. Scores are revisable judgments, not reported facts.

Long-term market performance

Adjusted performance is rebased to 100 over the longest common window, capped at ten years. A shorter-listed company automatically uses its available trading history.



Return summary

MSFT +886% 26.0% p.a.	QQQ +547% 20.7% p.a.	S&P 500 +256% 13.7% p.a.
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Comparison window ends 2026-08-01.

How to read it

The rebased lines compare compounded investor outcomes over the same dates. A higher ending value indicates outperformance over the selected window; it does not explain whether the result came from earnings growth, valuation change or distributions.

Operating scenarios

Bear, base and bull cases isolate the operating assumptions that matter most. They are not forecasts and do not imply probabilities.

Illustrative revenue outcome



Assumptions

Case	Revenue CAGR	Operating margin	Horizon
Bear	8.0%	42.0%	3 years
Base	13.0%	46.0%	3 years
Bull	18.0%	49.0%	3 years

What would change the case

The scenarios should move only when new evidence changes demand, pricing, operating leverage, capacity requirements or competitive intensity. A share-price move alone does not change the operating case.

Scenario guardrails

Bear, base and bull cases use the same starting period and horizon. Growth and operating margin change independently so the output remains attributable to visible assumptions rather than an opaque model adjustment.

12-month price framework

Recent institutional targets are dated market observations. The Company range is a separate Bear/Base/Bull scenario output; it is not a consensus average and does not imply probabilities.

Institutional observations and scenario range | USD per share



Target observations updated through 2026-08-12.

Range basis

A transparent range centered on the recent institutional cluster, with dispersion driven by Azure and AI monetization versus infrastructure-return risk.

Interpretation boundary

The range is an analytical scenario output, not a probability-weighted forecast or individually tailored view. It should be refreshed when operating assumptions, balance-sheet facts, share count or valuation conditions change.

Refresh triggers

Recalculate the range after a material earnings update, major capital-allocation change, revised share count or evidence that changes the operating case. Market-price movement alone is not a refresh trigger.

Catalysts, risks and monitoring agenda

A useful research view is falsifiable and updateable. The monitoring agenda connects each thesis driver to evidence that can confirm, weaken or reject it.

POTENTIAL CATALYSTS	DOWNSIDE RISKS
• Azure and AI revenue growth sustains while capacity constraints ease. • Commercial backlog converts into revenue without a comparable step-up in customer-acquisition cost. • New application-layer AI revenue improves the return profile of infrastructure investment. • Capex growth moderates before revenue and operating-profit momentum fades.	• Infrastructure investment and lease commitments outrun monetization. • Depreciation, power and data-center costs compress incremental margins. • Cloud customers optimize workloads or shift to competing and custom architectures. • Regulatory remedies constrain bundling, distribution or acquisition strategy.

Monitoring dashboard

Demand: Azure growth, contracted backlog and capacity commentary

Returns: Incremental operating profit versus capex and lease additions

Cash: Reported FCF, finance-lease principal and working-capital timing

Competition: Workload wins, pricing, custom silicon and model distribution

Priority diligence

- How much incremental AI infrastructure demand is contracted versus capacity built ahead of demand?
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Current snapshot

REVENUE GROWTH 17.8%	GROSS MARGIN 67.9%	OPERATING MARGIN 46.8%	FCF \$67.0B
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Update cadence

Refresh after each annual filing, material earnings release, major capital-allocation change or new evidence that directly affects demand, margins, investment intensity, accounting classification or competitive position.